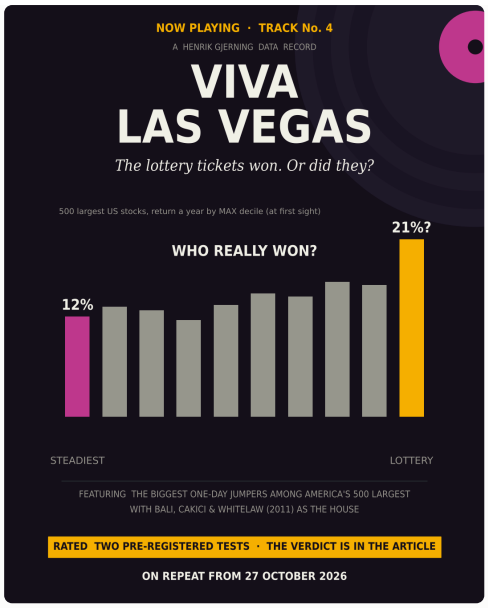


Henrik Gjerning · LinkedIn · October 2026

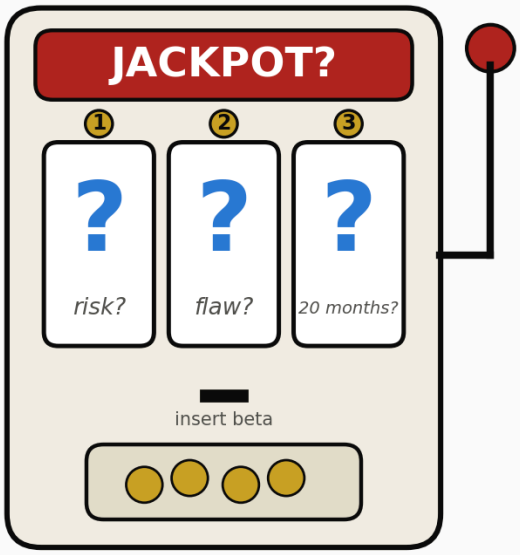
VIVA LAS VEGAS: do lottery stocks still lose?

Meme stocks, zero-commission apps, options for everyone. If lottery stocks were ever going to cost their buyers money, it was now.

A famous paper says they should: stocks with the biggest one-day jumps last month go on to underperform (Bali, Cakici & Whitelaw, 2011).

I tested it again on large US stocks, with the tests written down first. At first sight, the lottery tickets beat the steadiest stocks by 6% a year on the actual S&P 500 members (9% on my first, flawed list).

> **Three questions before you decide the gamblers won:**
> **1. Did they win, or did they just carry more risk?**
> **2. Which flaw in my own stock list was worth 3% a year, and which way did it push the result?**
> **3. How much of 13 years comes down to the last 20 months?**



Pull the lever: the answers are in the article

Your answer to question 1 in the comments, then check it here, with tables, code and the pre-registration: hgjerning.github.io/now-showing/viva-las-vegas

---

Want it run on your own market, idea or strategy? hgjerning@rudeinvest.com · linkedin.com/in/henrikgjerning